TCI Express

Q4FY22 Result Update | Logistics

Aggressive Vision: 2x Turnover and 4x EBITDA by FY25

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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TCI Express Q4FY22 topline was slightly lower than expectations but delivered stable set of margins despite inflationary pressure

- Revenue increased by 6.6% YoY to Rs 2,982 mn (+4% QoQ). Recorded highest ever quarterly revenue in the history of the company ; Growth in revenue was driven mainly from SME which contributed 52% of the revenue.
- EBIDTA degrew by 7.7% YoY to Rs502mn (+6.4% QoQ)
- EBIDTA Margins stood at 16.84% as against 19.44% YoY and 16.44% QoQ . Capacity utilization stood at 85%.
- PAT stood at Rs 359mn down by 15.6% YoY (QoQ +2.31%)

Other Details

- Operating Expense as % to Revenue stood at 66.9% v/s 66.8% YoY (68% QOQ)
- Employee Benefits expenses increased by 25.6% YoY to Rs 293mn & 5.6% on a QoQ basis.
- Other Exps as % to Revenue 6.5% v/s 5.5% YoY and (5.9% QoQ)
- Interim Dividend declared Rs 2/- (12M Rs 8)

Outlook:

- The management is confident of doubling the topline & 4x EBITDA in next ~4-5 years aided by launching new value added services which translates in to 25% CAGR on topline and 40%+ CAGR on EBITDA
- Management has guided for a revenue growth of 20-22% with volume growth in the range of 15-16% for FY23 & aim to increase 50-100 bps margin every year.Management has target to add 100+ branches in FY23 (takes 6-9 months to be operational). Added 45 new branches in FY2022
- Annual price hikes of 4-5% expected in FY22-23 ; Price hikes taken in FY21-22 of 1.5-2%

Financial Summary

Y/E Mar (I	FY20	FY21	FY22E	FY23E	FY24E
Net sales	10,320	8,440	10,815	12,978	14,924
EBIDTA	1,213	1,343	1,747	2,148	2,514
Margins	11.8	15.9	16.2	16.6	16.8
PAT (adj)	891	1,006	1,288	1,583	1,859
growth (%)	22.3	12.9	28.1	22.9	17.4
EPS	23.2	26.2	33.5	41.1	48.3
P/E (x)	69.7	61.9	48.4	39.4	33.5
P/B (x)	18.4	14.3	11.6	9.4	7.7
EV/EBITDA	50.8	45.6	35.1	28.4	24.0
RoE (%)	26.4	23.2	24.0	23.9	22.9
ROCE (%)	33.4	28.8	30.7	30.5	29.1

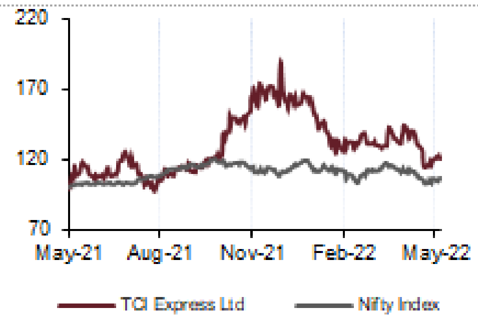
Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,936	21

Market data		
Current price	Rs	1,604
Market Cap (Rs.Bn)	(Rs Bn)	62
Market Cap (US$ Mn)	(US$ Mn)	796
Face Value	Rs	2
52 Weeks High/Low	Rs	2572 / 1280
Average Daily Volume	('000)	25
BSE Code		501242
Bloomberg		TCIEXP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	24.72	24.30
Public	75.28	75.7
Total	**100**	**100**

Source: BSE

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Conference Call Highlights

- **Industry dynamics**
  - E-Way bills of 7.8 crs registered in the month of March-22 indicating strong revival after the slowdown in the month of Jan-22 on account of omicron variant.

- **Guidance**
  - **FY23 Guidance**
  - Revenue growth of 20-22% with volume growth in the range of 15-16%
  - Aim to increase 50-100 bps margin every year
  - Target to add 100+ branches in FY23 (takes 6-9 months to be operational). Added 45 new branches in FY2022
  - Annual price hikes of 4-5% in FY22-23 ; Price hikes taken in FY21-22 of 1.5-2%
  - Declared Rs.2/sh as quarterly dividend & Rs.8/sh as full year dividend
  - Planned capex of Rs.100 crs p.a. for next 5 years ; Capex incurred in FY22 : Rs.80 crs

- **Operational Details**
  - YoY Margin saw a dip because of increase in salary cost due to addition of new employees for new product line ; operationally no issues
  - Capacity utilisation @ 85%
  - Volumes for the quarter : 2,35,000 T ; Volumes for full year : 8,65,000 T
  - Seen a volume growth of 4% on QoQ basis
  - Express logistics performed well
  - Value added services include B2C,Rail express,B2B services like mall deliveries & army services
  - Derives 85% revenue from North,south & west region & balance 15% from east

Monthwise Volume growth

  - Jan 2022 : -2% compared to Jan 2021 due to omicron
  - Feb 2022 : Flat Volume growth
  - March 2022 : Double digit growth on back of robust demand

- **Sorting Centes**
  - Started operations of Pune sorting centre in FY22
  - Also Gurgaon sorting centre operationalised couple of months back

- IRR payback period of sorting centre in the range of 6-8 years
- Size of all sorting centres put together now stand at 2 Mn Sq.Ft
- Purpose of Gurgaon sorting centre : Reduce labour cost ; Reduce truck standing time from 12 hrs to 5 hrs ; increase overall turnaround time

- **Customer addition**
  - FY22 : 5,000 customers
    Total : 2,20,000 customers
  - Pre covid : 2,10,000 customers
    2 year addition : + 10,000 customers
    Total : 2,20,000 customers

- **Strategy/Roadmap Ahead**
  - Progress of newer initiatives now @ 15% of overall revenue (~Rs.160 crs) which was 12% a year back ; Aim to take it to 25% by FY25 (~Rs.500 crs) ; EBITDA Margin of 20%
  - Air express not growing ; Aim is to convert air customers into rail customers by saving cost (Air cost : 4x of rail express & overall delay by max 24 hrs)

- **Cash deployment strategy**

Closing Cash & Bank including Investments as on 31.03.2022	Rs.100 crs
Expected Cashflow generation for FY23	Rs.175-200 crs
Less : Capex for FY23	Rs. 100 crs
Less : Buyback @ Rs.2050/sh	Rs. 75 crs (promoters won't participate)
Closing Cash & Bank expected on 31.03.2023	Rs. 100 crs (Retained at current closing levels)
(Net working capital @ 15 days so no cash required for working capital for routine operations)	

Quarterly Financials

Rs MNS	Q4FY22	Q4FY21	Growth	Q3FY22	Growth
Sales	**2981.8**	**2798.0**	***6.6***	**2869.2**	***3.92***
Other income	21	30.6	*(31.4)*	20.7	*1.45*
Total Revenue:	**3002.8**	**2828.6**	***6.2***	**2889.9**	***3.91***
Expenses:-					
Operating Expenses	1994.2	1868.6	*6.7*	1951.4	*2.19*
% to Operating Income	**66.9%**	**66.8%**		**68.0%**	
Employee benefit expenses	292.8	233.1	*25.6*	277.3	*5.59*
% to Operating Income	**9.8%**	**8.3%**		**9.7%**	
Other expenses	192.80	152.50	*26.4*	168.70	*14.29*
% to Operating Income	**6.5%**	**5.5%**		**5.9%**	
Total Expenses	2,479.80	2,254.20	*10.0*	2,397.40	*3.44*
EBITDA (exc OI)	**502.00**	**543.80**	***(7.7)***	**471.80**	***6.40***
EBITDA Margin %	**16.84%**	**19.44%**		**16.44%**	
EBITDA	523.00	574.40	*(8.9)*	492.50	*6.19*
Depreciation	31.60	25.20	*25.4*	22.30	*41.70*
Interest	2.9	1.8	*61.1*	1.9	*52.63*
PBT	**488.50**	**547.40**	***(10.8)***	**468.30**	***4.31***
PBT %	**16.38%**	**19.56%**		**16.32%**	
Tax expenses	129.20	121.70	*6.2*	117.10	*10.33*
Tax Rate	*26.4%*	*22.2%*		*25.0%*	
PAT	**359.30**	**425.70**	*(15.6)*	**351.20**	*2.31*
Adjusted PAT	**359.30**	**425.70**	***(15.6)***	**351.20**	***2.31***
NPM	**11.97%**	**15.05%**		**12.15%**	
Equity	77	76.9	*0.1*	77	-
EPS	**9.33**	**11.07**	***(15.7)***	**9.12**	***2.31***

Valuation & Outlook

TCI Express's USP lies in in its strong network coverage, of 40,000 locations serviced by 5,000 containerized trucks, 900+ branches and 28 sorting centers.

TCI express market share *(in terms of value of goods carried*) has reached 7% from 5% at end of FY21. Going forward logistics industry is expected to reach $1tn by 2030 from current levels of $360bn, out of this 70% would be road-transport i.e. $700bn of which TCI Express aims to capture 15-20%.

TCI Express one of the fastest growing multimodal company and the recently launched 'PM Gati Shakti National Master Plan' for multimodal infra connectivity opens up a very big-opportunity for a player like TCI Express.

The company's ROE and ROCE for FY22 stands at 24%+ and 30%+. It is now debt free with cash and cash equivalents of Rs 100 crs.

The management is confident of doubling the topline & 4x EBITDA in next ~4-5 years aided by launching new value added services which translates in to 25% CAGR on topline and 40%+ CAGR on EBITDA

At CMP of Rs 1,604 TCI express trades at 39x FY23e EPS of Rs 41 and 33x FY24e EPS of Rs 48. We maintain ***Buy on Dips* rating** with a target price of Rs 1936 valuing the company at 40x FY24e EPS of Rs.48

Financials

P&L (Rs mn)	FY19E	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	10,237.9	10,319.6	8,439.9	10,814.6	12,977.5	14,924.1
Raw Materials	(7,533.8)	(7,341.6)	(5,667.3)	(7,329.7)	(8,725.0)	(10,003.9)
Employee Cost	(858.5)	(1,018.0)	(873.4)	(1,099.4)	(1,319.3)	(1,517.2)
Other Expenses	(655.7)	(747.0)	(556.0)	(638.3)	(784.9)	(888.7)
Operating Profit	**1,189.9**	**1,213.0**	**1,343.2**	**1,747.2**	**2,148.4**	**2,514.4**
Depreciation	(65.3)	(77.9)	(89.7)	(99.8)	(121.5)	(143.2)
PBIT	1,124.6	1,135.1	1,253.5	1,647.4	2,026.8	2,371.1
Other income	31.9	43.7	76.5	81.7	104.9	128.6
Interest	(37.8)	(9.0)	(7.8)	(9.1)	(15.7)	(15.7)
PBT	1,118.7	1,169.8	1,322.2	1,720.1	2,116.0	2,484.1
Exceptionals	-	-	-	-	-	-
Profit before tax (post exceptional)	1,118.7	1,169.8	1,322.2	1,720.1	2,116.0	2,484.1
Provision for tax	(390.3)	(279.0)	(316.2)	(431.6)	(532.6)	(625.2)
Reported PAT	**728.4**	**890.8**	**1,006.0**	**1,288.5**	**1,583.4**	**1,858.8**
MI	-	-	-	-	-	-
Net Profit	**728.4**	**890.8**	**1,006.0**	**1,288.5**	**1,583.4**	**1,858.8**
Adjusted Profit (excl Exc	728.4	890.8	1,006.0	1,288.5	1,583.4	1,858.8

Cash Flow St. (Rs. mn)	FY19E	FY20	FY21	FY22E	FY23E	FY24E
Net Profit	728.4	890.8	1,006.0	1,288.5	1,583.4	1,858.8
Add: Dep. & Amort.	65.3	77.9	89.7	99.8	121.5	143.2
Cash profits	**793.7**	**968.7**	**1,095.7**	**1,388.3**	**1,704.9**	**2,002.1**
(Inc)/Dec in						
-Sundry debtors	(87.6)	(26.3)	(36.9)	(200.8)	(379.1)	(341.2)
-Inventories	-	-	-	-	-	-
-Loans/advances	(26.9)	(23.7)	(51.4)	(152.2)	(35.6)	(39.1)
'-Current Liab and Provisions	46.8	(104.3)	180.3	66.7	137.5	164.6
Change in working capital	(67.7)	(154.3)	92.0	(286.3)	(277.1)	(215.7)
CF from Oper. activities	**726.0**	**814.4**	**1,187.7**	**1,102.0**	**1,427.8**	**1,786.4**
CF from Inv. activities	**(252.7)**	**(598.6)**	**(1,005.1)**	**(944.1)**	**(802.1)**	**(802.2)**
CF from Fin. activities	**(424.0)**	**(260.9)**	**(36.3)**	**(250.2)**	**(308.7)**	**(371.8)**
Cash generated/(utilised)	**49.3**	**(45.1)**	**146.3**	**(92.3)**	**317.1**	**612.4**
Cash at start of the year	121.8	171.1	126.0	272.3	180.0	497.1
Cash at end of the year	171.1	126.0	272.3	180.0	497.1	1,109.5
	-	-	-	-	-	-

Balance Sheet	FY19E	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	76.6	76.7	76.9	77.0	77.0	77.0
Reserves	2,595.3	3,296.1	4,261.8	5,284.9	6,551.6	8,038.7
Net worth	**2,671.9**	**3,372.8**	**4,338.7**	**5,361.9**	**6,628.6**	**8,115.7**
MI	-	-	-	-	-	-
Non Current Liabilites	78.0	61.5	65.0	81.9	89.9	89.9
Current Liabilites	1,039.8	881.0	1,061.6	1,126.5	1,264.0	1,428.6
CAPITAL EMPLOYED	**3,789.7**	**4,315.3**	**5,465.3**	**6,570.3**	**7,982.5**	**9,634.2**
Non Current Assets	1,859.0	2,093.8	2,708.0	3,269.4	3,949.9	4,608.9
Fixed Assets	1,744.3	1,965.3	2,561.3	3,258.9	3,938.4	4,596.2
Goodwill	-	-	-	-	-	-
Non Current Investments	114.7	128.5	146.7	10.5	11.6	12.7
Deferred Tax Asset	-	-	-	-	-	-
Long Term Loans and Advances	-	-	-	-	-	-
Current Assets	1,930.7	2,221.5	2,757.3	3,300.9	4,032.6	5,025.3
Current investments	-	285.9	587.1	870.0	870.0	870.0
Inventories	-	-	-	-	-	-
Trade Receivables	1,631.4	1,657.7	1,694.6	1,895.4	2,274.5	2,615.7
Cash and Bank Balances	171.1	126.0	272.3	180.0	497.1	1,109.5
Short Term Loans and Advances	85.1	91.9	-	-	-	-
Other Current Assets	43.1	60.0	203.3	355.5	391.1	430.2
CAPITAL DEPLOYED	**3,789.7**	**4,315.3**	**5,465.3**	**6,570.3**	**7,982.5**	**9,634.2**

Ratios	FY19E	FY20	FY21	FY22E	FY23E	FY24E
OPM	11.6	11.8	15.9	16.2	16.6	16.8
NPM	7.1	8.6	11.8	11.8	12.1	12.3
Tax rate	(34.9)	(23.9)	(23.9)	(25.1)	(25.2)	(25.2)
Growth Ratios (%)						
Net Sales	15.7	0.8	(18.2)	28.1	20.0	15.0
Operating Profit	31.3	1.9	10.7	30.1	23.0	17.0
PBIT	31.6	0.9	10.4	31.4	23.0	17.0
PAT	24.7	22.3	12.9	28.1	22.9	17.4
Per Share (Rs.)						
Net Earnings (EPS)	19.0	23.2	26.16	33.47	41.13	48.28
Cash Earnings (CPS)	20.7	25.3	28.5	36.1	44.3	52.0
Dividend	2.9	4.6	4.0	8.0	8.2	9.7
Book Value	69.8	87.9	112.8	139.3	172.2	210.8
Free Cash Flow	12.4	5.6	4.7	4.1	16.3	25.6
Valuation Ratios						
P/E(x)	**85.1**	**69.7**	**61.9**	**48.4**	**39.4**	**33.5**
P/B(x)	23.2	18.4	14.3	11.6	9.4	7.7
EV/EBIDTA(x)	51.9	50.8	45.6	35.1	28.4	24.0
Div. Yield(%)	0.2	0.3	0.2	0.5	0.5	0.6
FCF Yield(%)	**0.8**	**0.3**	**0.3**	**0.3**	**1.0**	**1.6**
Return Ratios (%)						
RONW	27%	26%	23%	24%	24%	23%
ROCE	41%	33%	29%	31%	30%	29%
Net D/E	0.0	0.0	0.0	0.0	0.0	0.0

Source: Dalal & Broacha Research, Company

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